


Healthy pipeline, strong deal wins and LTI-Mindtree merger synergies to pave way for outperformance

LTI reported a decent Q1FY23 performance with revenue in-line with our estimates while margins were a beat on our estimates

- \$ Revenue came in at \$ 580.2 Mn, +1.7% qoq (+2.9% in cc terms) / +23.4% yoy and in-line with our estimates
- INR revenue came in at INR 45,228 Mn, +5.1% qoq / +30.6% yoy and 1% above our estimates
- EBITDA at INR 8,308 Mn, -1.8% qoq / +28.2% yoy
- EBITDA Margins stood at 18.4% vs 19.7% / 18.7% in Q4FY22 / Q1FY22 respectively
- EBIT at INR 7,243 Mn, -2.7% qoq / +27.5% yoy and 6.3% above our estimates
- EBIT margins of 16%, vs 17.3% / 16.4% in Q4FY22 / Q1FY22 and versus our expectation of 15%
- PAT came in at INR 6,344 Mn, -0.5% qoq / +27.7% yoy and 13% above our estimates
- EPS at INR 36.1 vs 36.4 / 28.4 in Q4FY22 / Q1FY22 respectively
- The company announced 4 large deal wins with Net New TCV of \$79 Mn

Vertical-wise commentary

- **BFS:** Segment grew 7.9% sequentially in CC terms. Witnessed one of the largest deal win this quarter and has strong momentum across markets and service lines in the segment and is optimistic for growth.
- **Insurance:** Segment grew 4.5% sequentially in CC terms. The traction continues to be good with 2 of the new F-500 coming from this vertical.

Financial Summary

Y/E Mar (Rs mn)	FY 19	FY 20	FY 21	FY 22E	FY 23E	FY 24E
Net sales	94,458	108,786	123,698	156,687	188,133	209,215
EBIT	17,361	17,562	23,926	27,036	31,716	36,528
Adjusted net profit	15,147	15,200	19,381	22,986	27,092	30,583
Free cash flow	18,941	17,217	35,072	26,655	35,797	34,966
EPS (Rs)	86.4	86.4	110.2	130.7	154.1	173.9
growth (%)	36%	0%	28%	19%	18%	13%
P/E (x)	44.8	44.8	35.1	29.6	25.1	22.3
P/B (x)	13.9	12.6	9.3	7.7	6.4	5.4
EV/EBITDA (x)	35.9	33.4	24.8	21.8	18.7	16.2
Market Cap (INR Mn)	679,205	681,378	681,131	681,131	681,131	681,131
ROCE (%)	34.0	29.6	30.5	28.8	28.2	26.7
RoE (%)	34.6	29.5	30.5	28.4	27.9	26.5
Dividend yield (%)	0.7	0.7	0.8	0.9	1.3	1.3

Source: Company

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	4870	23

Market data

Current price	Rs	3,964
Market Cap (Rs.Bn)	(Rs Bn)	695
Market Cap (US\$ Mn)	(US\$ Mn)	8,699
Face Value	Rs	1
52 Weeks High/Low	Rs	7,595 / 3,733
Average Daily Volume	('000)	804
BSE Code		540005
Bloomberg		LTI.IN

Source: Bloomberg

One Year Performance


Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	74.03	74.05
Public	25.97	25.95
Total	100	100

Source: Bloomberg

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- **Manufacturing:** Segment declined by 11.5% sequentially in CC terms. The Decline was due to the seasonal passthrough in Q4 although there remains a strong order backlog in this vertical.
- **Energy & Utilities (E&U):** Segment grew 2.6% sequentially in CC terms. Digital transformations and continuing focus on cloud is leading to strong demand in this vertical.
- **CPG, Retail & Pharma:** Segment grew 1.4% sequentially in CC terms.
- **Hi-Tech, Media & Entertainment:** Segment grew 0.8% sequentially in CC terms. Growth has seen a pause this quarter but LTI is optimistic of its prospects in FY23.
- **Others:** Segment, which includes Government & Defense business and Professional services, grew 17.8% sequentially in CC terms. Growth was primarily on account of ramp up in one of their Global marquee service client.

Concall Highlights

- **Deal wins:** LTI has signed 4 net new large deal wins worth US\$79mn in Q1FY23. 2 large deals were signed with Global F-500 clients (scope primarily includes cloud, data and analytics). 1 additional large deal in partnership with Mindtree (Global travel technology company). Out of the 4 new large deals 2 deals where in US, 1 in Europe and 1 in the Emerging Markets. It also indicated that few large deals are at final stages and expected to close during 2QFY23E
- **Margin walk:** 300 bps impact due to Employee Cost, 70 bps impact due to travel and visa costs which was offset by benefit of 240 bps coming from productivity benefits, INR depreciation and absence of pass-through license revenue. Given that the wage hike has been done in this quarter and attrition should peak out in a few quarters, one can expect margins to improve gradually qoq.
- **Demand Environment & Outlook:** Management was cautious about both the lack of resources and other supply side challenges and the latest macro concerns and inflation globally. However, this has strangely led to short term acceleration in demand as most clients want to follow through with their transformation agenda – which augurs well for Q2FY23e. Management reiterated about its FY23E US\$ sales growth rate to be in the leaders' quadrant.
- **LTI has added 29 new logos** this quarter which is the highest they have added in the past 9 quarters. 4 new Global F-500 clients were also added taking the Global F-500 customers to 77.
- **Deal pipeline:** Despite recent headwinds the current large deal pipeline continues to remain around US\$ 2 Bn.
- Employee count increased by 2,100 qoq to 48,766 employees. Attrition (LTM) remained high at 23.8% vs. 24.0%/15.2% qoq/yoy. LTI expecting another few quarters before attrition stabilizes. LTI plans to hire 6,500 freshers in FY23E. It has rolled out wage hikes to majority of employees effective Apr'22.
- CFO stood at INR 2,256 Mn for Q1FY23, which was at 35.6% conversion of the Net Income. This was impacted by the payout of annual incentives.
- Cash & Cash Equivalents stood at INR 38,824 Mn in Q1 vs INR 39,139 Mn in Q4.

Valuation & Outlook

As per our revised estimates, LTI is trading at 25.1x / 22.3x FY23e / FY24e EPS. Management has indicated that demand environment remains strong and LTI will deliver growth in the leader's quadrant on the back of strong deal wins, healthy pipeline and new logo additions.

However, given the bleak macroeconomic outlook and weak sentiments we downgrade our multiple to 28x FY24e EPS and recommend a BUY on Dips strategy as we arrive at a TP of INR 4,870. Having said that, we continue to remain positive on accelerated tech transformation globally and iterate LTI as one of our top picks in the IT space.

Quarterly Deviation Sheet

Consolidated financial results							
INR mn	Q1FY23	Q1FY22	YoY Growth	Q4FY22	QoQ Growth	Q1FY23E	Deviation
Revenue (US\$)	580	470	23.4%	570	1.7%	581	0%
Revenue (INR)	45,228	34,625	30.6%	43,016	5.1%	44,779	1%
Direct costs	32,075	23,898	34.2%	30,111	6.5%	32,252	-1%
Gross profit	13,153	10,727	22.6%	12,905	1.9%	12,527	5%
S,G&A	4,845	4,249	14.0%	4,441	9.1%	4,926	-2%
Total expenses	36,920	28,147	31.2%	34,552	6.9%	37,178	-1%
EBITDA	8,308	6,478	28.2%	8,464	-1.8%	7,601	9%
D&A	1,065	795	34.0%	1,019	4.5%	787	35%
EBIT	7,243	5,683	27.5%	7,445	-2.7%	6,814	6%
Other income	1,441	1,216	18.5%	1,340	7.5%	919	57%
Net profit before tax and exceptional items	8,510	6,722	26.6%	8,596	-1.0%	7,563	13%
Provision for tax on above	2,166	1,753	23.6%	2,221	-2.5%	1,954	11%
Net profit pre-exceptionals	6,344	4,969	27.7%	6,375	-0.5%	5,609	13%
Reported net profit	6,344	4,969	27.7%	6,375	-0.5%	5,609	13%
Margins (%)							
Gross margins	29.1%	31.0%	-190	30.0%	-92	28.0%	111
EBITDA margin	18.4%	18.7%	-34	19.7%	-131	17.0%	139
PAT margin	14.0%	14.4%	-32	14.8%	-79	12.5%	150

Source: Company, D&B Research

Financials

P&L Statement						
INR mn	FY19	FY20	FY21	FY22E	FY23E	FY24E
Revenue	94,458	1,08,786	1,23,698	1,56,687	1,88,133	2,09,215
<i>Growth (%)</i>	29%	15%	14%	27%	20%	11%
Gross Profit	32,814	35,197	41,505	48,120	55,097	62,367
EBITDA	18,833	20,292	27,251	30,585	35,631	40,470
<i>EBITDA Margin (%)</i>	19.9%	18.7%	22.0%	19.5%	18.9%	19.3%
Depreciation	1,472	2,730	3,325	3,549	3,915	3,942
EBIT	17,361	17,562	23,926	27,036	31,716	36,528
<i>EBIT Margin (%)</i>	18.4%	16.1%	19.3%	17.3%	16.9%	17.5%
Other Income	3,023	3,289	2,743	4,667	5,311	5,177
Exceptional items	0	0	0	0	0	0
PBT	20,278	20,025	25,881	30,975	36,342	41,024
Reported PAT	15,147	15,200	19,381	22,986	27,092	30,583
Adj PAT	15,147	15,200	19,381	22,986	27,092	30,583
<i>PAT Margin (%)</i>	16%	14%	16%	15%	14%	15%
EPS (Rs.)	86.4	86.4	110.2	130.7	154.1	173.9
<i>EPS Growth (%)</i>	36%	0%	28%	19%	18%	13%

Balance Sheet						
INR Mn	FY19	FY20	FY21	FY22E	FY23E	FY24E
Share capital	174	174	174	174	174	174
Reserves and surplus	48,764	53,866	72,859	88,556	1,05,236	1,25,406
Net Worth	48,938	54,040	73,033	88,730	1,05,410	1,25,580
Non Current Liabilities						
Deferred Tax liabilities	56	101	35	35	35	35
Total debt	936	3,204	859	859	859	859
Current Liabilities						
Trade payables	4,669	6,950	8,277	6,564	7,938	8,784
Total Net worth and Li	66,692	88,249	1,03,902	1,19,116	1,37,170	1,58,186
Assets						
Non Current Assets						
Net fixed assets	3,052	4,031	2,700	523	999	1,531
Intangible Assets	6,247	7,474	8,961	11,848	15,065	17,932
Investments	20,120	23,757	40,405	36,821	44,211	49,165
Deferred tax assets	2,386	3,039	1,476	1,476	1,476	1,476
Current Assets						
Cash and bank balances	4,150	5,252	5,583	12,351	14,826	24,138
Loans & advances	11,886	12,731	16,602	16,602	16,602	16,602
Trade Recievables	18,263	23,121	20,835	30,050	36,080	40,123
Total assets	66,692	88,249	1,03,902	1,19,116	1,37,170	1,58,186

Source: Dalal & Broacha Research, Company

Ratio Analysis

	FY19	FY20	FY21	FY22E	FY23E	FY24E
Margin ratios						
Gross (%)	34.7	32.4	33.6	30.7	29.3	29.8
EBITDA (%)	19.9	18.7	22.0	19.5	18.9	19.3
Adj PAT (%)	16.0	14.0	15.7	14.7	14.4	14.6
Performance ratios						
Pre-tax OCF/EBITDA (%)	99.3	101.3	107.5	74.2	96.1	100.2
RoE (%)	34.6	29.5	30.5	28.4	27.9	26.5
ROCE (%)	34.0	29.6	30.5	28.8	28.2	26.7
RoCE (Pre-tax) (%)	45.5	38.9	40.7	38.8	37.8	35.8
RoIC (Pre-tax) (%)	38.0	34.0	35.2	35.2	34.8	35.8
Return on Total Assets (%)	26.0	19.9	23.0	22.7	23.1	23.1
Fixed asset turnover (x)	34.0	30.7	36.8	97.2	-790.4	-165.4
Total asset turnover (x)	1.6	1.4	1.3	1.4	1.5	1.4
Valuation metrics						
Fully Diluted Shares (mn)	175	176	176	176	176	176
Market cap (Rs.mn)	679,205	681,378	681,131	681,131	681,131	681,131
P/E (x)	44.8	44.8	35.1	29.6	25.1	22.3
EV (Rs.mn)	675,991	677,157	674,481	667,714	665,239	655,926
EV/ EBITDA (x)	35.9	33.4	24.8	21.8	18.7	16.2
FCF Yield	1.8%	2.1%	2.7%	1.2%	3.4%	4.2%
P/BV (x)	13.9	12.6	9.3	7.7	6.4	5.4
Dividend pay-out (%)	35.3	37.4	32.3	31.7	38.4	34.0
Dividend yield (%)	0.7	0.7	0.8	0.9	1.3	1.3
RoIC	31.8%	27.4%	30.0%	27.7%	28.2%	28.2%
Book Value per share (BV / Share)						

Cash Flow Statement

INR Mn	FY19	FY20	FY21	FY22E	FY23E	FY24E
PAT	15,147	15,200	19,381	22,986	27,092	30,583
Less: Non Operating Income	(3,023)	(3,289)	(2,743)	(4,667)	(5,311)	(5,177)
Add: Depreciation	1,472	2,730	3,325	3,549	3,915	3,942
Operating Profit before WC Change:	13,702	15,467	20,751	22,596	26,382	30,029
(Inc)/Dec in Current Assets	(9,539)	(10,487)	(15,681)	(2,703)	(12,006)	(8,048)
Inc/(Dec) in Current Liabilities	3,029	5,621	(143)	(1,713)	1,374	846
Net Cash From Operations	7,192	10,601	4,927	18,180	15,751	22,826
Cash Flow from Investing Activities						
(Inc)/Dec in Fixed Assets	(2,016)	(3,709)	(1,994)	(1,372)	(2,393)	(3,410)
(Inc)/Dec in Investment (Strategic)	(955)	1,060	(2,449)	(2,928)	(1,415)	(949)
Add: Non Operating Income	3,023	3,289	2,743	4,667	5,311	5,177
Cash From Investing Activities	(1,943)	(1,064)	(3,257)	(2,520)	(1,714)	(2,048)
Cash Flow from Financing Activities						
Dividend Paid	(4,499)	(4,864)	(5,592)	(6,125)	(8,750)	(8,750)
Tax Paid on Dividend	(842)	(815)	(671)	(1,164)	(1,663)	(1,663)
Net Cash from Financing Activities	(4,726)	(9,545)	(1,606)	(8,017)	(11,097)	(11,094)
Opening Balance	3,632	4,150	5,252	5,583	12,351	14,826
Closing Cash Balance	4,155	4,142	5,316	13,226	15,290	24,510

Free Cash Flow Statement

INR Mn	FY19	FY20	FY21	FY22E	FY23E	FY24E
EBITDA	18,833	20,292	27,251	30,585	35,631	40,470
FC Investment	(2,016)	(3,709)	(1,994)	(1,372)	(2,393)	(3,410)
WC Changes	(6,510)	(4,866)	(15,824)	(4,416)	(10,631)	(7,203)
Depreciation Tax Shield	372	658	835	915	997	1,003
Tax Expenses	4,758	4,889	6,844	7,888	9,069	10,301
FCF	18,941	17,217	35,072	26,655	35,797	34,966

Source: Dalal & Broacha Research, Company

Financials

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